IN THE UNITED STATES BANKRUPTCY COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION

In re:	)	Chapter 11
MLCJR LLC, *et al.* [1]	)	Case No. 23-90324 (CML)
Debtors.	)	Jointly Administered

DEBTORS' MOTION FOR ENTRY OF: (I) AN ORDER (A) APPROVING BIDDING PROCEDURES, (B) SCHEDULING AN AUCTION AND SALE HEARING FOR ALL OR SUBSTANTIALLY ALL OF THE DEBTORS' ASSETS, (C) ESTABLISHING CERTAIN ASSUMPTION AND ASSIGNMENT PROCEDURES, AND (D) GRANTING RELATED RELIEF; AND (II) AN ORDER (A) AUTHORIZING AND APPROVING THE DEBTORS' ENTRY INTO AN ASSET PURCHASE AGREEMENT, (B) AUTHORIZING THE SALE OF ALL OR SUBSTANTIALLY ALL OF THE DEBTORS' ASSETS FREE AND CLEAR OF LIENS, (C) APPROVING THE ASSUMPTION AND ASSIGNMENT OF THE ASSUMED CONTRACTS, AND (D) GRANTING RELATED RELIEF

If you object to the relief requested, you must respond in writing. Unless otherwise directed by the Court, you must file your response electronically at https://ecf.txsb.uscourts.gov/ within twenty-one days from the date this motion was filed. If you do not have electronic filing privileges, you must file a written objection that is actually received by the clerk within twenty-one days from the date this motion was filed. Otherwise, the Court may treat the pleading as unopposed and grant the relief requested.

The above-captioned debtors and debtors in possession (collectively, the "***Debtors***") respectfully state the following in support of this motion (this "***Motion***"):[2]

[1] The Debtors in these cases, along with the last four digits of each Debtor's federal tax identification number, are: MLCJR LLC (0875); Cox Oil Offshore, L.L.C. (7047); Cox Operating, L.L.C. (0939); Energy XXI GOM, LLC (0027); Energy XXI Gulf Coast, LLC (8595); EPL Oil & Gas, LLC (9562); and M21K, LLC (3978). The Debtors' address is 4514 Cole Ave, Suite 1175, Dallas, Texas 75205.

[2] The Debtors may file a declaration in support of the Bid Procedures prior to the hearing thereon or will otherwise be prepared to provide the necessary evidentiary support for the Motion at the hearing. The Debtors also intend to file a form of asset purchase agreement in advance of such hearing.

RELIEF REQUESTED

1. The Debtors seek entry of an order, substantially in the form of the attached proposed order (the "***Bid Procedures Order***"), authorizing and approving, among other things:

a. the proposed bid procedures attached to the Bid Procedures Order as **Exhibit A** (the "***Bid Procedures***") and the dates and deadlines relating to the Potential Transaction(s) as set forth in the Bid Procedures, including the Bid Deadlines;

b. the form and manner of notice of the Potential Transaction(s) and the Bid Deadlines, substantially in the form attached to the Bid Procedures Order as **Exhibit B** (the "***Sale Notice***");

c. the assumption and assignment procedures attached to the Bid Procedures Order as **Exhibit C** (the "***Assumption and Assignment Procedures***") for any executory contract or unexpired lease to be assumed by the Debtors and assigned to the Successful Bidder (the "***Designated Contracts***"); and

d. the form and manner of notice attached to the Bid Procedures Order as **Exhibit D** (the "***Cure Notice***") for the potential assumption and assignment of any executory contracts or unexpired leases and the cure amounts related thereto.

2. In the event the Debtors determine to pursue consummation of a Sale in accordance with the Bid Procedures, but subject to their applicable fiduciary duties, the Debtors further seek entry of an order authorizing and approving (a) the sale of the Assets free and clear of all pledges, liens, security interests, encumbrances, claims, charges, options, and interests, except to the extent otherwise set forth in the purchase agreement executed by the Debtors and the Successful Bidder, (b) the assumption and assignment of any Designated Contracts, and (c) granting related relief (the "***Sale Order***"), in a form to be filed by the Debtors prior to any hearing where the Debtors seek entry thereof (a "***Sale Hearing***").

3. The Debtors request consideration of this Motion on or prior to June 13, 2023. Establishing the Bid Procedures by such date will create a Court-approved process that will provide the Debtors and potential bidders with a transparent, competitive, and fair bidding process

going forward, which will help maximize value for the Debtors' estates within the timeline and budget of these Chapter 11 Cases.

JURISDICTION AND VENUE

4. The United States Bankruptcy Court for the Southern District of Texas (this "***Court***") has jurisdiction to consider this Motion under 28 U.S.C. § 1334. This is a core proceeding under 28 U.S.C. § 157(b), and this Court may enter a final order consistent with Article III of the United States Constitution. Venue is proper under 28 U.S.C. §§ 1408 and 1409.

5. The bases for the relief requested herein are sections 105, 363, and 365 of title 11 of the Bankruptcy Code (the "***Bankruptcy Code***"), rules 2002 and 6004 of the Federal Rules of Bankruptcy Procedure (the "***Bankruptcy Rules***"), and rules 4002-1(e) and 9013-1 of the Bankruptcy Local Rules for the Southern District of Texas (the "***Local Rules***"), and the Procedures for Complex Chapter 11 Cases in the Southern District of Texas (the "***Complex Case Procedures***").

BACKGROUND

6. On May 14, 2023 (the "***Petition Date***"), the Debtors (together with their non-debtor affiliates, collectively, the "***Company***") filed voluntary petitions in this Court commencing cases for relief under chapter 11 of the Bankruptcy Code (the "***Chapter 11 Cases***"). The factual background regarding the Debtors, including their business operations, their capital and debt structures, and the events leading to the filing of the Chapter 11 Cases, is set forth in detail in the *Declaration of Ryan Omohundro, Chief Restructuring Officer of the Debtors, in Support of*

Chapter 11 Petitions and First Day Pleadings (the "***First Day Declaration***"),[3] which was filed with this Court on the Petition Date and is fully incorporated herein by reference.

7. The Debtors continue to manage and operate their businesses as debtors in possession pursuant to sections 1107 and 1108 of the Bankruptcy Code. No trustee or examiner has been requested in these Chapter 11 Cases, and no committees have yet been appointed.

8. To facilitate a value-maximizing exit from these Chapter 11 Cases, the Debtors are conducting a marketing process for the sale or disposition of all or any portion of the Debtors' assets (the "***Assets***") under section 363 of the Bankruptcy Code (the "***Asset Sale***"), including (a) the Debtors' equity interests in their non-Debtor subsidiaries and (b) all or substantially all of the Debtors' assets. In addition to one or more Asset Sales, the Debtors are likewise soliciting any other type of strategic transaction involving the Debtors and/or the Assets, including, without limitation, a financing process for the potential raising of debt, equity, or hybrid financing or consummation of a sale or restructuring transaction through a chapter 11 plan of reorganization (any of the foregoing, including an Asset Sale, a "***Potential Transaction***").

THE BID PROCEDURES AND SALE NOTICE

9. The Debtors, together with their advisors, have designed the Bid Procedures to establish a clear and open process for the solicitation, receipt, and evaluation of bids on a timeline that would allow the Debtors to consummate a Potential Transaction.

10. The Bid Procedures generally set forth: (a) the requirements for participation in the bidding process, including the criteria for a bid to be designated as a Qualified Bid; (b) the process for the submission and evaluation of bids in connection with a Potential Transaction; (c) the

[3] Capitalized terms used but not otherwise defined herein shall have the meanings ascribed to such terms in the First Day Declaration.

requirements for participation in, and rules governing the conduct of, the auction(s) (if any) of the Assets (the "***Auction(s)***"); (d) the process for designation of a Successful Bidder and a Backup Bidder; and (e) all related dates and deadlines.

11. As described more fully in the Bid Procedures, the Debtors request a Bid Deadline of Wednesday, July 26, 2023, with any auction to be scheduled by no later than Monday, August 7, 2023, in each case as may be extended.

12. Given the circumstances of these Chapter 11 Cases, the Bid Procedures have several features designed to maximize the value achieved for the Assets:

a. The Bid Procedures apply to separate potential transaction processes: an Asset Sale or another form of Potential Transaction in accordance with a given bidder's preference. Rather than focus solely on one potential path to monetization, the Debtors believe the best way to maximize value for their estates within the timeline and budget of these Chapter 11 Cases is to conduct a broad marketing process and solicit bids for any and all sale, financing, and plan transactions.

b. The Bid Procedures allow the Debtors to, after consultation with the Consultation Parties, seek Court approval of a bid prior to a Bid Deadline and without an Auction if the Debtors determine that doing so would best maximize value for their estates. Any such transaction will be consummated only after further notice and Court approval, which may occur concurrently with any other ongoing Potential Transaction processes outlined in the Bid Procedures.

c. With respect to a proposed Asset Sale, the Bid must contemplate (i) entry of the sale order by no later than Thursday, August 17, 2023 and (ii) being consummated by no later than Friday, September 1, 2023.

d. With respect to another form of Potential Transaction (other than an Asset Sale), the Bid must comply with the Potential Transaction Milestones set forth below:

Milestone	Event
Friday, Aug. 11, 2023	Filing of plan of reorganization and disclosure statement
Friday, Aug. 25, 2023	Court approval of the disclosure statement
Friday, Sept. 29, 2023	Confirmation of plan of reorganization

Milestone	Event
Monday, Oct. 16, 2023	Effective date of plan of reorganization

13. The Bid Procedures recognize the Debtors' fiduciary duties and do not require the Debtors to take any action or refrain from taking any action if doing so would be inconsistent with their fiduciary duties.

14. The Debtors also request approval of the Sale Notice, substantially in the form attached to the Bid Procedures Order as **Exhibit B**. The Debtors propose to serve the Sale Notice on all known parties in interest in the Chapter 11 Cases, publish the notice on the Debtors' claims, noticing, and solicitation agent's website for the case, and publish the notice in a national publication (with any modifications the Debtors deem appropriate for publication). The form and manner of such notice will provide adequate notice of the Bid Procedures and the Potential Transaction to parties in interest. To the extent an Auction or Sale Hearing is scheduled, the Debtors will provide separate notice thereof as soon as reasonably practicable.

POTENTIAL SELECTION OF STALKING HORSE BIDDER

15. At this time, the Debtors have not identified any stalking horse bidder. The Debtors reserve the right to select one or more stalking horse bidders and enter into agreements with such stalking horse bidders at any time prior to the Bid Deadline. In the event a stalking horse bidder is selected, the Debtors will provide prompt notice thereof by filing a notice with the Court. The Debtors also seek authorization to offer break-up fees and/or expense reimbursement to such bidders without the need for further authorization from the Court; *provided*, that such break-up fees shall not equal more than 3.0% of the cash component of any such bid.

THE ASSUMPTION AND ASSIGNMENT PROCEDURES AND CURE NOTICE

16. The Debtors are seeking approval of the Assumption and Assignment Procedures attached to the Bid Procedures Order as **Exhibit C** to facilitate the fair and orderly assumption and assignment of executory contracts and unexpired leases. The Assumption and Assignment Procedures (including service of the Cure Notice) will notify the counterparties to any Potential Assumed Contracts (as defined in the Assumption and Assignment Procedures) of the potential assumption and assignment of their contracts or leases and the Debtors' calculation of any cure amount. The Debtors also request approval of the Cure Notice, substantially in the form attached to the Bid Procedures Order as **Exhibit D**.

BASIS FOR RELIEF

A. The Bid Procedures Are Fair, Designed to Maximize the Value Received for the Assets, and Consistent with the Debtors' Reasonable Business Judgment

17. Section 363(b) of the Bankruptcy Code provides that "[t]he [debtor in possession], after notice and a hearing, may use, sell or lease, other than in the ordinary course of business, property of the estate . . . ." 11 U.S.C. § 363(b). Bankruptcy Rule 6004(f)(1) provides that any such non-ordinary course sale "may be by private sale or public auction."[4] Fed. R. Bankr. P. 6004(f)(1). Section 105(a) of the Bankruptcy Code empowers bankruptcy courts to "issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of this title."[5]

18. The procedures used in selling estate assets are subject to the debtor's business judgment, which is entitled to substantial deference, as long as the debtor articulates an adequate

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[4] *See In re Cypresswood Land Partners, I*, 409 B.R. 396, 436 (Bankr. S.D. Tex. 2009) ("there is no prohibition against a private sale. . . [and] there is no requirement that the sale be by public auction").

[5] 11 U.S.C. § 105(a).

business justification.[6] The paramount goal in any proposed sale of property of the estate is to maximize the proceeds received by the estate.[7] Courts uniformly recognize that procedures intended to enhance competitive bidding are consistent with the goal of maximizing the value received by the estate and therefore are appropriate in the context of bankruptcy transactions.[8]

19. Here, the Debtors carefully designed the Bid Procedures to attract active bidding from parties potentially interested in any type of Potential Transaction and to maximize the value of their Assets in the current market, based on the Debtors' advisors' experience in similar situations. The Debtors developed the Bid Procedures to allow the Debtors to solicit offers and conduct their Potential Transaction process in a controlled, fair, and open fashion that will encourage participation by financially capable bidders while simultaneously allowing the Debtors to pursue whichever type of Potential Transaction the market determines will maximize value for their estates, subject to approval of this Court.

20. In the event the Debtors receive competing bids, the Bid Procedures provide the Debtors the opportunity to schedule an Auction with respect to such bids and then select the highest or otherwise best bid. The Bid Procedures also provide the Debtors with the flexibility and opportunity, after consultation with the Consultation Parties, to pursue a stand-alone reorganization under a chapter 11 plan instead of an Asset Sale, if the Debtors determine, in their business judgment, that doing so would maximize value for the estates.

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6 *See, e.g.*, *In re Cont'l Air Lines, Inc.*, 780 F.2d 1223, 1226 (5th Cir. 1986) ("[F]or a debtor-in-possession or trustee to satisfy its fiduciary duty to the debtor, creditors and equity holders, there must be some articulated business justification for using, selling, or leasing the property outside of the ordinary course of business."); *In re Asarco, L.L.C.*, 650 F.3d 593, 601 (5th Cir. 2011) *aff'g* 441 B.R. 813, 824 (S.D. Tex. 2010) ("Section 363 of the Bankruptcy Code addresses the debtor's use of property of the estate and incorporates a business judgment standard.").

7 *See, e.g.*, *In re Bigler, LP*, 443 B.R. 101, 115 (Bankr. S.D. Tex. 2010).

8 *See, e.g.*, *In re Integrated Res., Inc.*, 147 B.R. 650, 659 (S.D.N.Y. 1992) (bid procedures "are important tools to encourage bidding and to maximize the value of the debtor's assets").

21. In sum, the Bid Procedures will maximize the value of the Assets by soliciting interest from the general market in a controlled, fair, and transparent process, will provide the Debtors with flexibility necessary to exercise their business judgment in maximizing value for their estates, and will allow the Debtors to assess and compare the viability of different types of Potential Transaction. Accordingly, the Bid Procedures should be approved.

B. The Form and Manner of the Sale Notice Should Be Approved

22. Bankruptcy Rules 2002(a)(2) and 2002(i) generally require a debtor to provide creditors with a minimum of 21 days' notice of a proposed sale under section 363(b)(1) of the Bankruptcy Code of property outside the ordinary course of business, with such notice to be provided by mail to "the debtor, the trustee, all creditors and indenture trustees" and any committee appointed under section 1102 of the Bankruptcy Code.

23. The Debtors seek approval of the Sale Notice as proper and sufficient notice of the Bid Procedures, the Potential Transaction, the deadlines to object to the Potential Transaction, and the potential Auction and Sale Hearing. Notice of this Motion and the related hearing to consider entry of the Bid Procedures Order, coupled with service and publication of the Sale Notice, constitutes good and adequate notice of the Bid Procedures, the Potential Transaction(s), and the related proceedings in compliance with, and satisfaction of, Bankruptcy Rule 2002. To the extent an Auction or Sale Hearing is scheduled, the Debtors will provide separate notice thereof as soon as reasonably practicable.

C. The Assumption and Assignment Procedures and the Assignment of Any Designated Contracts Should Be Approved

24. Section 365(a) of the Bankruptcy Code provides that a debtor-in-possession "subject to the court's approval, may assume or reject any executory contract or unexpired lease

of the debtor."[9] The standard governing approval of a debtor's decision to assume or reject an executory contract is whether the debtor's reasonable business judgment supports assumption or rejection.[10] Under the business judgment test, a court should approve a debtor's proposed assumption if such assumption will benefit the estate.[11]

25. The Assumption and Assignment Procedures are reasonable under the circumstances and are necessary to notify parties to Potential Assumed Contracts of the potential assumption and assignment of their respective contracts, the related proposed cure amounts, and the Successful Bidder's adequate assurance of future performance. The Debtors will be prepared to demonstrate at any Sale Hearing that the requirements for assumption and assignment of any executory contracts or unexpired leases to a Successful Bidder will be satisfied. The Debtors will evaluate the financial wherewithal of potential bidders before designating any such party a Qualified Bidder or Successful Bidder, including as it relates to such Qualified Bidder's willingness and ability to perform under executory contracts and unexpired leases that it wants assumed and assigned. Indeed, the Bid Procedures expressly provide that all Bids must be accompanied by information providing adequate assurance of the Bidder's future performance.

26. The Assumption and Assignment Procedures, including the form and manner of the Cure Notice, should be approved as reasonable and necessary measures to (a) adequately notify parties in interest and assume and (b) assign contracts and leases in a fair, efficient, and proper manner.

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[9] 11 U.S.C. § 365(a).

[10] *Mirant Corp. v. Potomac Electric Power Co. (In re Mirant Corp.)*, 378 F.3d 511, 524-25 & n.5 (5th 2004).

[11] *In re Food City, Inc.*, 94 B.R. 91, 93-94 (Bankr. W.D. Tex. 1988).

D. The Assets May Be Sold Free and Clear of Liens, Claims, Interests, and Encumbrances under Bankruptcy Code Section 363(f)

27. Section 363(f) of the Bankruptcy Code authorizes a debtor to sell assets free and clear of all liens, claims, interests and encumbrances provided that one of the following conditions is met:

a. applicable non-bankruptcy law permits sale of such property free and clear of such interests;

b. such entity consents;

c. such interest is a lien and the price at which such property is to be sold is greater than the aggregate value of all liens on such property;

d. such interest is in *bona fide* dispute; or

e. such entity could be compelled, in a legal or equitable proceeding, to accept a money satisfaction of such interest.[12]

This provision is supplemented by section 105(a) of the Bankruptcy Code, which provides that "[t]he Court may issue any order, process or judgment that is necessary or appropriate to carry out the provisions of [the Bankruptcy Code]."[13]

28. Because section 363(f) of the Bankruptcy Code is drafted in the disjunctive, satisfaction of any one of its five requirements will suffice to permit the sale of the Assets free and clear of any interests.[14] The Debtors anticipate satisfying one or more of the conditions under section 363(f) and believe that they will be able to demonstrate such satisfaction at the Sale Hearing.

29. To the extent that the Court finds that any Sale satisfies section 363(f), the Debtors request that the Court also hold that such Sale is free and clear of successor liability relating to the

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[12] 11 U.S.C. § 363(f).

[13] 11 U.S.C. § 105(a).

[14] *In re Nature Leisure Times, LLC*, No. 06-41357, 2007 WL 4554276, at *3 (Bankr. E.D. Tex. Dec. 19, 2007).

Debtors' businesses. The purpose of a free and clear sale under section 363(f) would be frustrated if claimants could thereafter assert claims arising from the Debtors' pre-sale conduct against the eventual purchaser. The absence of such assurance may chill bidding or result in reduced bids.

E. Credit Bidding Should Be Authorized under Bankruptcy Code Section 363(k)

30. A secured creditor is allowed to credit bid the amount of its claim in a sale. Section 363(k) of the Bankruptcy Code provides, in relevant part, that unless the court for cause orders otherwise, the holder of a claim secured by property that is the subject of the sale "may bid at such sale, and, if the holder of such claim purchases such property, such holder may offset such claim against the purchase price of such property."[15] Even if a secured creditor is undersecured as determined in accordance with section 506(a) of the Bankruptcy Code, section 363(k) allows such secured creditor to bid the total face value of its claim and does not limit the credit bid to the claim's economic value.[16]

31. The Bid Procedures provide that each potential bidder with a valid and perfected lien that secures an allowed claim on any of the Assets (a "***Secured Creditor***") has the right to credit bid all or any portion of the Secured Creditor's claim on a dollar-for-dollar basis pursuant to, and subject to, section 363(k) with respect to the collateral by which such Secured Creditor is secured; *provided*, that such credit bid is permitted under the Bankruptcy Code and non-bankruptcy law.

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[15] 11 U.S.C. § 363(k).

[16] *See In re Submicron Sys. Corp.*, 432 F.3d 448, 459-60 (3d Cir. 2006).

F. The Successful Bidder Should Be Entitled to the Protections of Section 363(m) of the Bankruptcy Code

32. Pursuant to section 363(m) of the Bankruptcy Code, a good faith purchaser is one who purchases assets for value, in good faith, and without notice of adverse claims.[17] An appropriate characterization of good faith in a bankruptcy sale is a lack of "fraud, collusion between the purchaser and other bidders or the trustee, or an attempt to take grossly unfair advantage of other bidders." *In re Bleaufontaine, Inc.*, 634 F.2d 1383, 1388 n.7 (5th Cir. 1981) (quoting *In re Rock Indus. Mach. Corp.*, 572 F.2d 1195, 1198 (7th Cir. 1978)).

33. If the Debtors seek to consummate a Sale pursuant to a Successful Bid obtained in accordance with the Bid Procedures, such Sale will have been negotiated at arm's length and/or through a fair and open auction process. To that end, the Debtors request that the Court find in the Sale Order that the Successful Bidder is a good faith purchaser within the meaning of section 363(m). Providing the Successful Bidder with such protection will ensure that the Debtors receive the maximum price for the Assets and the Sale closing will occur promptly.

WAIVER OF BANKRUPTCY RULES 6004(a) AND 6004(h)

34. The Debtors request the Court enter an order providing that notice of the relief requested satisfies Bankruptcy Rule 6004(a) and the Debtors have established cause to exclude such relief from the 14-day stay period under Bankruptcy Rule 6004(h). Given the short timeline and circumstances of these Chapter 11 Cases, the Debtors believe a waiver of the 14-day stay is prudent and necessary so that the Debtors can promptly consummate any Proposed Transaction to obtain consideration for the benefit of their estates.

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[17] *See TMT Procurement Corp. v. Vantage Drilling Co. (In re TMT Procurement Corp.)*, 764 F.3d 512, 521 (5th Cir. 2014).

NOTICE

35. Notice of this Motion will be given to: (a) the Office of the United States Trustee for the Southern District of Texas (the "***U.S. Trustee***"); (b) the parties included on the Debtors' consolidated list of the holders of the thirty (30) largest unsecured claims against the Debtors; (c) counsel to the DIP Lenders, (i) Haynes and Boone, LLP and (ii) Kelly Hart Pitre; (e) the United States Attorney's Office for the Southern District of Texas; (f) the Internal Revenue Service; (g) the Securities and Exchange Commission; (h) the Environmental Protection Agency and similar state environmental agencies for states in which the Debtors conduct business; (i) the state attorneys general for states in which the Debtors conduct business; and (j) all parties that have requested or that are required to receive notice pursuant to Bankruptcy Rule 2002. In light of the nature of the relief requested, the Debtors submit that no other or further notice is required or needed under the circumstances.

36. A copy of this Motion is available on (a) this Court's website, www.txs.uscourts.gov, and (b) the website maintained by the Debtors' proposed Claims and Noticing Agent, Kroll Restructuring Administration LLC, at https://restructuring.ra.kroll.com/MLCJR.

WHEREFORE, the Debtors respectfully request that this Court enter the Proposed Order, substantially in the form attached hereto, granting the relief requested in this Motion and such other and further relief as may be just and proper.

Houston, TX
Dated: May 22, 2023

/s/ *Rebecca Blake Chaikin*

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CERTIFICATE OF SERVICE

I certify that on May 22, 2023, a true and correct copy of the foregoing document was served by the Electronic Case Filing System for the United States Bankruptcy Court for the Southern District of Texas on those parties registered to receive electronic notices.

/s/ Rebecca Blake Chaikin
Rebecca Blake Chaikin

IN THE UNITED STATES BANKRUPTCY COURT
FOR THE SOUTHERN DISTRICT OF TEXAS
HOUSTON DIVISION

In re:	)	Chapter 11
MLCJR LLC, *et al.*,[1]	)	Case No. 23-90324 (CML)
Debtors.	)	(Jointly Administered)
	)	**Re: Docket No. ___**

ORDER (A) APPROVING CERTAIN BIDDING PROCEDURES AND THE FORM AND MANNER OF NOTICE THEREOF, (B) SCHEDULING AN AUCTION AND A HEARING ON THE APPROVAL OF THE SALE OF ALL OR SUBSTANTIALLY ALL OF THE DEBTORS' ASSETS, (C) ESTABLISHING CERTAIN ASSUMPTION AND ASSIGNMENT PROCEDURES AND APPROVING THE MANNER OF NOTICE THEREOF, AND (D) GRANTING RELATED RELIEF

Upon the motion (the "***Motion***")[2] of the above-captioned debtors and debtors in possession (collectively, the "***Debtors***") for entry of an order (this "***Order***") approving: (i) the bid procedures attached hereto as **Exhibit A** (the "***Bid Procedures***"); (ii) the form of notice attached hereto as **Exhibit B** (the "***Sale Notice***"); and (iii) the assumption and assignment procedures attached hereto as **Exhibit C** (the "***Assumption and Assignment Procedures***") and related cure notice attached hereto **Exhibit D** (the "***Cure Notice***"), and granting related relief, all as more fully set forth in the Motion; and this Court having reviewed the Motion and having heard the statements in support of the relief requested therein at a hearing before this Court:[3]

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[1] The Debtors in these cases along with the last four digits of each Debtor's federal tax identification number, are: MLCJR LLC (0875); Cox Oil Offshore, L.L.C. (7047); Cox Operating, L.L.C. (0939); Energy XXI GOM, LLC (0027); Energy XXI Gulf Coast, LLC (8595); EPL Oil & Gas, LLC (9562); and M21K, LLC (3978). The Debtors' address is 4514 Cole Ave, Suite 1175, Dallas, Texas 75205.

[2] Capitalized terms used but not otherwise defined have the meanings ascribed to them in the Motion.

[3] The findings and conclusions set forth in this Order constitute the Court's findings of fact and conclusions of law pursuant to Bankruptcy Rule 7052, made applicable to this proceeding pursuant to Bankruptcy Rule 9014. To the extent that any of the following findings of fact constitute conclusions of law, they are adopted as such. To the extent any of the following conclusions of law constitute findings of fact, they are adopted as such.

ACCORDINGLY, THIS COURT FINDS THAT:

A. This Court has jurisdiction over this matter pursuant to 28 U.S.C. § 1334. This matter is a core proceeding pursuant to 28 U.S.C. § 157(b). This Court may enter a final order consistent with Article III of the United States Constitution. Venue is proper pursuant to 28 U.S.C. §§ 1408 and 1409.

B. The Debtors' notice of the Motion and opportunity for a hearing on the Motion were appropriate and sufficient and no other notice need be provided.

C. The legal and factual bases set forth in support of the Motion establish just cause for the relief granted herein. The Debtors demonstrated a compelling and sound business justification for this Court to enter this Order approving the Bid Procedures, the Assumption and Assignment Procedures, and the dates and deadlines set forth therein.

D. The Bid Procedures attached as **Exhibit A** are fair, reasonable, and appropriate and designed to promote participation and active bidding to maximize value for the Debtors' estates.

E. The Assumption and Assignment Procedures attached as **Exhibit C** are fair, reasonable, and appropriate and comply with section 365 of the Bankruptcy Code.

F. The Sale Notice attached as **Exhibit B** and the Cure Notice attached as **Exhibit D** are appropriate and reasonably calculated to provide all interested parties with timely and proper notice of the Sales, the Bid Procedures, and the Assumption and Assignment Procedures (and any cure amounts), respectively.

ACCORDINGLY, THIS COURT ORDERS THAT:

1. ***Objections Overruled.*** Any and all objections to the relief granted herein that have not been withdrawn with prejudice, waived, or settled, and all reservations of rights with respect to such relief, are overruled and denied on the merits with prejudice.

2. ***Bid Procedures***. The Bid Procedures attached as **Exhibit A** are fully incorporated and approved in their entirety. All dates and deadlines set forth in the Bid Procedures are hereby established. The Bid Procedures shall govern the submission, receipt, and analysis of all bids relating the sale or disposition of all or any portion of the Debtors' assets (the "***Assets***") under section 363 of the Bankruptcy Code (the "***Asset Sale***"), including (a) the Debtors' equity interests in their non-Debtor subsidiaries and (b) all or substantially all of the Debtors' assets. In addition to one or more Asset Sales, the Debtors are further authorized to solicit any other type of strategic transaction involving the Debtors and/or the Assets, including, without limitation, a financing process for the potential raising of debt, equity, or hybrid financing or consummation of a sale or restructuring transaction through a chapter 11 plan of reorganization (any of the foregoing, including an Asset Sale, a "***Potential Transaction***"). Any party desiring to propose a Potential Transaction shall comply with this Order, including the Bid Procedures. The Debtors are authorized to schedule one or more Auctions in connection with the Bid Procedures.

3. ***Sale Notice.*** The form of the Sale Notice attached as **Exhibit B** is approved. The Debtors shall serve the Sale Notice on all known parties in interest in these Chapter 11 Cases, post the Sale Notice on the Debtors' claims, noticing, and solicitation agent's website for these Chapter 11 Cases, and publish the Sale Notice in a national publication (with such modifications that the Debtors deem appropriate for publication purposes). The manner of such notice is approved, and the failure to specifically include a reference to any particular provision of the Bid Procedures in the Sale Notice shall not diminish or impair the effectiveness of such notice or provision. To the extent an Auction or Sale Hearing is scheduled, the Debtors shall provide notice thereof as soon as reasonably practicable.

4. ***Stalking Horse Protections.*** The Debtors' rights, in consultation with the Consultation Parties, to (a) select one or more stalking horse bidders, (b) enter into a stalking horse agreement, and (c) offer bid protections to such stalking horse bidder are approved to the extent set forth in this Order. If the Debtors select a stalking horse bidder or enter into a stalking horse agreement, they shall provide prompt notice thereof by filing a notice with the Court. The Debtors are also hereby authorized, in consultation with the Consultation Parties, to offer break-up fees and/or expense reimbursement to such stalking horse bidders without the need for further authorization from the Court; *provided*, that such break-up fees shall not equal more than 3.0% of the cash component of any such bid.

5. ***Sale Objection Deadline.*** Objections to any Sale, including any objection to the sale of any Assets free and clear of all pledges, liens, security interests, encumbrances, claims, charges, options, and interests pursuant to section 363(f) of the Bankruptcy Code, must be filed with this Court **no later than 4:00 p.m. (CT) on July 19, 2023**; provided, that the foregoing deadline shall not apply to any objection to the (a) conduct of any Auction, (b) identity of any Successful Bidder, or (c) adequate assurance of future performance by any Successful Bidder (which objections are governed by paragraph 6 below). If a party fails to file a timely objection, such party shall be barred deemed to consent to such Sale "free and clear" for purposes of section 363(f) of the Bankruptcy Code.

6. ***Successful Bidder Objection Deadline.*** Objections to the conduct of any Auction, the identity of any Successful Bidder, and the adequate assurance of future performance by any Successful Bidder must be filed with this Court **no later than five (5) days after the Debtors file a notice with this Court indicating a Successful Bidder.**

7. ***Assumption and Assignment Procedures.*** The Assumption and Assignment Procedures attached as **Exhibit C** are approved. The Debtors will file with the Court and serve the Cure Notice attached as **Exhibit D** no later than fourteen (14) days after the date hereof and may file supplemental versions of the Cure Notice thereafter. Any objections to a Cure Notice (whether an initial or supplemental version), including the Cure Amount or the potential assumption and assignment of any contract or lease included on the Cure Notice, must be filed by **no later than 4:00 p.m. (CT) on the date that is fourteen (14) days after the service of such Cure Notice.** The inclusion of a contract or lease in any Cure Notice will not (a) obligate the Debtors to assume or assign such contract or lease or (b) constitute any admission or agreement by the Debtors that such contract is an executory contract or unexpired lease. Only those contracts and leases that are included on a schedule of assumed and/or assigned contracts and leases attached to definitive documentation that is approved by this Court will be assumed and/or assigned (as applicable).

8. ***Consent to Jurisdiction***. All persons or entities (whether or not a Qualified Bidder) that participate in the bidding process for a Potential Transaction will be deemed to have knowingly and voluntarily (a) consented to the entry of a final order by this Court in connection with the Motion to the extent that it is later determined that this Court, absent consent of the parties, cannot enter final orders or judgments in connection herewith consistent with Article III of the United States Constitution and (b) waived any right to jury trial in connection with any disputes relating to the any of the foregoing matters.

9. ***Miscellaneous***. All time periods set forth in this Order shall be calculated in accordance with Bankruptcy Rule 9006(a). The terms and conditions of this Order are immediately effective and enforceable upon its entry. The Debtors are authorized to take all

actions necessary to effectuate the relief granted in this Order. The Debtors are authorized to execute any additional or supplemental document incident to the relief granted pursuant to this Order.

10. ***Retention of Jurisdiction***. This Court retains exclusive jurisdiction with respect to all matters arising from or related to the implementation, interpretation, and enforcement of this Order.

Signed:_____, 2023

_____
CHRISTOPHER M. LOPEZ
UNITED STATES BANKRUPTCY JUDGE

Exhibit A

Bid Procedures

BID PROCEDURES

On May 14, 2023, MLCJR LLC, Cox Oil Offshore, L.L.C., Cox Operating, L.L.C., Energy XXI GOM, LLC, Energy XXI Gulf Coast, LLC, EPL Oil & Gas, LLC, and M21K, LLC (collectively, the "***Debtors***") filed voluntary petitions for relief under chapter 11 of title 11 of the United States Code (the "***Bankruptcy Code***") in the United States Bankruptcy Court for the Southern District of Texas (the "***Bankruptcy Court***").

The Debtors are conducting a marketing process for the sale or disposition of all or any portion of the Debtors' assets (the "***Assets***") under section 363 of the Bankruptcy Code (the "***Asset Sale***"), including (a) the Debtors' equity interests in their non-Debtor subsidiaries and (b) all or substantially all of the Debtors' assets. In addition to one or more Asset Sales, the Debtors are likewise soliciting any other type of strategic transaction involving the Debtors and/or the Assets, including, without limitation, a financing process for the potential raising of debt, equity, or hybrid financing or consummation of a sale or restructuring transaction through a chapter 11 plan of reorganization (any of the foregoing, including an Asset Sale, a "***Potential Transaction***").

On June [__], 2023, the Bankruptcy Court entered that certain *Order (A) Approving Certain Bidding Procedures and the Form and Manner of Notice Thereof, (B) Scheduling an Auction and a Hearing on the Approval of the Sale of All or Substantially All of the Debtors' Assets, (C) Establishing Certain Assumption and Assignment Procedures and Approving the Manner of Notice Thereof, and (D) Granting Related Relief* (the "***Bid Procedures Order***"), approving, among other things, the bid procedures to be used in connection with the potential Asset Sale or other form of Potential Transaction (collectively, the "***Bid Procedures***"). The Bid Procedures are set forth below.

Any party interested in proposing a Potential Transaction should contact Bassam J. Latif (bassam.latif@moelis.com) and Kevin Voelte (kevin.voelte@moelis.com), the Debtors' proposed investment banker, if they have any questions or need additional information.

I. CONSULTATION PARTIES

As appropriate throughout the Bidding Process (as defined below), the Debtors will consult with their postpetition lenders, counsel to any statutory committee to the extent any is appointed, and any other party that the Debtors deem appropriate (collectively, the "***Consultation Parties***") and will (a) coordinate with Potential Bidders (as defined below) regarding the conduct of their respective due diligence, (b) evaluate bids from Potential Bidders, (c) following consultation with the Consultation Parties, negotiate any bid made (a "***Bid***"), and (d) following consultation with the Consultation Parties, make such other determinations as are provided for in these Bid Procedures (collectively, the "***Bidding Process***"); *provided*, that the Debtors (i) will not consult with a Consultation Party that is actively participating (or intends to participate) as a bidder and (ii) will not consult with a Consultation Party if the Debtors determine, in their business judgment, that consulting with such Consultation Party regarding any issue, selection, or determination is (y) likely to have a chilling effect on potential bidding or (z) otherwise contrary to the goal of maximizing value, either through a Sale or other Potential Transaction, for the Debtors' estates, their creditors, and all other parties in interest. To the extent a member of any statutorily appointed

committee, if any, is actively participating (or intends to participate) as a bidder, such member shall be walled off from any consultation rights of such committee (as applicable).

II. CONFIDENTIALITY AGREEMENT AND POTENTIAL BIDDERS

Unless otherwise ordered by the Bankruptcy Court for cause shown, to participate in the Bidding Process, each person or entity must enter into a confidentiality agreement (or already be party to a confidentiality agreement) with the Debtors in form and substance satisfactory to the Debtors (the "***Confidentiality Agreement***"). Further, to participate in the diligence process and receive access to due diligence information, a party must, upon request by the Debtors, submit to the Debtors or their advisors sufficient information, as determined by the Debtors, to allow the Debtors to determine that the interested party (a) has the financial wherewithal to consummate the applicable Potential Transaction and (b) intends to access the Data Room (as defined below) for a purpose consistent with these Bid Procedures. Each person or entity that enters into the Confidentiality Agreement with the Debtors by no later than the Bid Deadline (as defined below) is hereinafter referred to as a "***Potential Bidder***."

After a Potential Bidder enters into a Confidentiality Agreement with the Debtors, the Debtors shall deliver or make available (unless previously delivered or made available) to each Potential Bidder certain designated, confidential information (including, if applicable, financial data) with respect to the Assets.

III. DUE DILIGENCE

The Debtors will grant each of the Consultation Parties (on a professional eyes' only basis) and each Potential Bidder access to the Debtors' confidential electronic data room concerning the Assets (the "***Data Room***"). Up to and including the Bid Deadline (as defined below), the Debtors will afford any Potential Bidder such due diligence access or additional information as may be reasonably requested by the Potential Bidder that the Debtors, in their business judgment, determine to be reasonable, available, and appropriate under the circumstances. The Debtors may designate one or more representatives to coordinate all reasonable requests for additional information and due diligence access from Potential Bidders. In the event that any such due diligence material is in written form and has not previously been provided to any other Potential Bidder, the Debtors will simultaneously provide access to such materials to all Potential Bidders. Each Potential Bidder shall be required to acknowledge that it has had an opportunity to conduct any and all due diligence regarding the Debtors and the Assets in conjunction with submitting its Bid.

Neither the Debtors nor any of their representatives shall be obligated to furnish any information of any kind whatsoever relating to the Debtors or the Assets to any person or entity who is not a Potential Bidder.

The Debtors make no representation or warranty as to the information provided through this due diligence process or otherwise, including the documents in the Data Room, except as set forth in any executed definitive documents for the Potential Transaction(s).

IV. NO COMMUNICATIONS AMONG BIDDERS

There shall be no communications regarding potential Bids, a potential Asset Sale, or another Potential Transaction between or among any bidders unless the Debtors, after consultation with the Consultation Parties, have previously authorized such communication in writing. The Debtors reserve the right, in their reasonable business judgment and after consultation with the Consultation Parties, to disqualify any bidder that the Debtors believe in their reasonable judgment has communicated with another bidder in violation of these Bid Procedures.

V. CREDIT BIDDING

Each Potential Bidder that has a valid and perfected lien that secures an allowed claim on any of the Assets (a "***Secured Creditor***") may seek to credit bid all or any portion of the Secured Creditor's claim on a dollar-for-dollar basis pursuant to, and subject to, section 363(k) of the Bankruptcy Code; *provided*, that a Secured Creditor shall have the right to credit bid its claim only with respect to the collateral by which such Secured Creditor is secured and only to the extent such credit bid is permitted under the Bankruptcy Code and non-bankruptcy law.

VI. BID DEADLINE

A Potential Bidder that intends to make a Bid for an Asset Sale or other Potential Transaction shall deliver written copies of its Bid in both Portable Document Format (.pdf) and Microsoft Word (.doc/.docx) to Bassam J. Latif (bassam.latif@moelis.com) and Kevin Voelte (kevin.voelte@moelis.com), by no later than **Wednesday, July 26, 2023**, at 4:00 p.m. (Central Time) (as may be extended, the "***Bid Deadline***"). As soon as reasonably practicable following the Bid Deadline, the Debtors will provide copies of all Bids to the Consultation Parties, with such distribution permissible by electronic means.

As described more fully in Section X below, if the Debtors determine to conduct an auction, they expect it will be held no later than **Monday, August 7, 2023**.

VII. BID REQUIREMENTS

All Bids must comply with the following requirements (collectively, the "***Bid Requirements***"):

1. **Documentation.**

   a. With respect to a proposed Asset Sale (whether for substantially all or any individual or other portion of the Assets), the Bid must be accompanied by an executed purchase agreement, based on either a form provided by the Debtors or the Stalking Horse Agreement, if one exists.

   b. With respect to another form of Potential Transaction, the Bid must be accompanied by a detailed transaction document capable of being executed, whether that be a credit agreement, plan term sheet, or otherwise, as applicable.

2. **Identity.** The Bid must fully disclose the identity of the Potential Bidder and provide the contact information of the specific person(s) whom the Debtors or their advisors should contact (including any equity holder or other financial backer if the Potential Bidder is an entity formed for the purpose of consummating the Potential Transaction) in the event that the Debtors have any questions or wish to discuss the Bid submitted by the Potential Bidder. The Bid must fully disclose what connections the Potential Bidder has (if any) to the Debtors or the Debtors' principals.

3. **Purchase Price.**

   a. With respect to a proposed Asset Sale, the Bid must set forth the purchase price to be paid by such Potential Bidder and the forms of consideration the Potential Bidder intends to use to pay such purchase price, as well as a description of any liabilities to be assumed by such Potential Bidder.

   b. With respect to another form of Potential Transaction, the Bid must set forth the cash or other consideration to be furnished, including and identifying separately any cash and non-cash components and a description of any liabilities to be assumed by such Potential Bidder.

4. **Minimum Bid.** In the event a Stalking Horse Bidder is designated, each Bid must exceed (a) the Stalking Horse Bid plus (b) the amount of the Bid Protections payable to such Stalking Horse Bidder (if any).

5. **Terms**.

   a. With respect to a proposed Asset Sale, the Bid must identify the Assets (including the specific executory contracts and unexpired leases) such Potential Bidder wishes to bid on and the liabilities and obligations (including applicable cure costs) to be assumed by the Potential Bidder in the Asset Sale, and must acknowledge that the Potential Bidder shall be solely responsible for the payment of any cure cost(s) required pursuant to section 365 of the Bankruptcy Code. Moreover, the proposed Asset Sale must also contemplate (i) entry of the sale order by no later than **Thursday, August 17, 2023** and (ii) being consummated by no later than **Friday, September 1, 2023**.

   b. With respect to another form of Potential Transaction (other than an Asset Sale), the Bid must describe (i) in reasonable detail the terms and conditions of such Potential Transaction and (ii) in the event the Bid is a plan term sheet or requires a chapter 11 plan of reorganization, the Bid must also provide the treatment of various classes of creditor claims, which must comply with the applicable requirements of the Bankruptcy Code. Moreover, the Bid must also

comply with the Potential Transaction Milestones set forth on Exhibit 1 hereto.

6. **Diligence**. The Bid must contain an acknowledgment that the Potential Bidder has relied solely upon its own independent review, diligence, investigation, and/or inspection of any documents and any other information in making the Bid.

7. **Irrevocable.** The Bid must be irrevocable unless and until the Debtors accept a higher or otherwise better Bid and such bidder is not selected as the Backup Bidder (as defined below). If the Bid is chosen as the Backup Bid (as defined below), the Bid must remain irrevocable until the Debtors and the Successful Bidder consummate the Potential Transaction.

8. **No Contingencies.** The Bid must not be subject to contingencies or conditions of any kind, including, without limitation, contingencies related to financing, internal approval, or due diligence.

9. **Backup Bid.** The Bid must provide that the Potential Bidder agrees to serve as a backup bidder (the "***Backup Bidder***") if the Potential Bidder's Qualified Bid (as defined below) is the highest or best bid after the Successful Bid (as defined below) (the "***Backup Bid***") through the applicable closing date (the "***Closing Date***").

10. **Adequate Assurance of Future Performance.** With respect to a proposed Asset Sale, the Bid must be accompanied by adequate assurance of future performance information (the "***Adequate Assurance Information***"), which should include (a) information about the Potential Bidder's financial condition, such as federal tax returns for the previous two years, a current financial statement, or bank account statements, (b) information demonstrating (in the Debtors' business judgment) that the Potential Bidder has the financial capacity to consummate the proposed Asset Sale, (c) evidence that the Potential Bidder has obtained authorization or approval from its board of directors (or comparable governing body) with respect to the submission of its Bid, and (d) such additional information regarding the Potential Bidder as the Potential Bidder may elect to include. By submitting a Bid, each Potential Bidder agrees that, in the event that the Debtors determine such Bid to be a Qualified Bid (as defined below), the Debtors may disseminate its Adequate Assurance Information to affected counterparties to any contracts or leases potentially being assumed and assigned in connection with the Asset Sale and to the Consultation Parties.

11. **Good Faith Deposit; Financial Capacity.** The Bid must be accompanied by (a) a deposit in the form of a certified check or wire transfer, payable to the order of the Debtors, in the amount of (i) in the event of an Asset Sale, 10% of the cash consideration of the Bid and/or (ii) in the event of another form of Potential Transaction, 10% of the cash proceeds to be distributed to

the Debtors, which funds will be deposited into an escrow account to be identified and established by the Debtors (a "***Good Faith Deposit***"), and (b) written evidence, documented to the Debtors' satisfaction, that demonstrates the Potential Bidder has available cash and/or a commitment for financing if selected as the Successful Bidder (as defined below) (*provided*, *however*, that the closing shall not be contingent in any way on the Successful Bidder's financing), and such other evidence of ability to consummate the transaction(s) as the Debtors may request, including proof that such funding commitments or other financing are not subject to any internal approvals, syndication requirements, diligence or credit committee approvals (*provided*, *further*, that such commitments may have covenants and conditions acceptable to the Debtors). The Debtors reserve the right to increase the Good Faith Deposit for one or more Qualified Bidders (as defined below) in their sole discretion after consulting with the Consultation Parties.

12. **Regulatory**. In the Bid, the Potential Bidder must indicate whether it believes its Bid will be subject to any regulatory approvals, including review by the Committee on Foreign Investment in the United States or review under the Hart-Scott-Rodino Act.

VIII. STALKING HORSE AND BID PROTECTIONS

After consultation with the Consultation Parties, the Debtors reserve the right to select one or more Potential Bidders to act as stalking horse bidders in connection with a Sale or other Potential Transaction (each, a "***Stalking Horse Bidder***", and the respective bid of each Stalking Horse Bidder, a "***Stalking Horse Bid***") and to enter into an agreement with such Stalking Horse Bidder (each such agreement, a "***Stalking Horse Agreement***"). The Debtors will provide notice of any Stalking Horse Bidder designation and any Stalking Horse Agreement by filing a notice with the Bankruptcy Court. The Debtors also reserve the right to offer a break-up fee and/or expense reimbursement to a Stalking Horse Bidder ("***Bid Protections***"); *provided*, that such break-up fee shall not equal more than 3.0% of the cash component of any such Bid.

IX. DESIGNATION OF QUALIFIED BIDS

The Debtors will review each Bid received from a Potential Bidder and, after consultation with the Consultation Parties, determine whether it meets the requirements set forth above. A Bid received from a Potential Bidder that meets the Bid Requirements, and that is otherwise satisfactory to the Debtors, will be considered a "***Qualified Bid***", and each Potential Bidder that submits a Qualified Bid will be considered a "***Qualified Bidder***." The Debtors shall inform Potential Bidders whether or not their Bids have been designated as Qualified Bids prior to any Auction and, in the event the Debtors inform a Potential Bidder that it has not submitted a Qualified Bid, they shall provide information as to what is needed for the Potential Bidder to submit a Qualified Bid and become a Qualified Bidder.

The Debtors, in their business judgment and after consultation with the Consultation Parties, reserve the right to reject any Bid at any time if such Bid, among other things:

(1) requires any indemnification of the Potential Bidder;

(2) is not received by the Bid Deadline;

(3) does not comply with the applicable Bid Requirements or the Bankruptcy Code;

(4) is contrary to the best interests of the Debtors and their estate;

(5) is subject to any contingencies (including representations, warranties, covenants, and timing requirements) of any kind or any other conditions precedent to such party's obligation; or

(6) does not include fair and adequate terms or the acceptance of which would not be in the best interests of the Debtors' estates.

Any Bid rejected pursuant to the foregoing shall not be deemed to be a Qualified Bid; *provided*, that the Debtors have the right to work with the parties to any rejected Bid to cure any such defects. In the event that any Bid is so rejected, the Debtors shall cause the Good Faith Deposit of such Potential Bidder (including all accumulated interest thereon) to be refunded to it no later than five (5) business days after the Bid Deadline.

X. AUCTION

After consultation with the Consultation Parties, if the Debtors receive only one Qualified Bid with respect to any particular Assets (or all of the Assets), or otherwise determine that an Auction would not maximize value for the Debtors' estates with respect to a Potential Transaction, (a) the Debtors may not hold an Auction with respect to such Potential Transaction; (b) the Qualified Bid, as applicable, may be deemed the Successful Bid with respect to such Potential Transaction; (c) the Qualified Bidder may be named the Successful Bidder with respect to such Potential Transaction; and (d) the Debtors may seek Bankruptcy Court approval of the Successful Bidder and provide separate notice thereof.

If the Debtors determine to conduct an auction (an "***Auction***"), they will provide further notice of the Auction to parties in interest and file such notice with the Bankruptcy Court. The Debtors expect the Auction will be held no later than **Monday, August 7, 2023**.

Unless otherwise ordered by the Bankruptcy Court for cause shown, only the applicable Qualified Bidders are eligible to participate at the applicable Auction. The Consultation Parties and the U.S. Trustee, however, shall be permitted to attend the Auction(s). In addition, any creditor of the Debtors, or any party the Debtors deem appropriate, may observe the Auctions; *provided*, *however*, that any such party must provide notice of its intent to observe to the Debtors at least one day before the applicable Auction by electronic mail to Bassam J. Latif (bassam.latif@moelis.com), Kevin Voelte (kevin.voelte@moelis.com), Keith A. Simon (keith.simon@lw.com), and Misha E. Ross (misha.ross@lw.com). At least one day prior to the start of the applicable Auction, each Qualified Bidder must inform the Debtors in writing whether it intends to participate in the Auction.

The bidding at the Auction(s) will be transcribed and the Debtors will maintain a transcript of all Bids made and announced at the Auction(s). Each Qualified Bidder participating in the Auction(s) will be required to confirm in writing, and on the record at the applicable Auction, that (a) it has not engaged in any collusion with respect to the Bidding Process and (b) its Qualified Bid is a good-faith, *bona fide* offer that it intends to consummate if selected as the Successful Bidder. All bidders at the Auction(s) will be deemed to have consented to the core jurisdiction and constitutional authority of the Bankruptcy Court and waived any right to jury trial in connection with any disputes relating to the Auction(s), the Asset Sale(s) and/or Potential Transaction(s), and all agreements entered into in connection therewith.

The Debtors will determine, after consultation with the Consultation Parties, which Qualified Bid is the highest or otherwise best applicable Qualified Bid for purposes of constituting the opening bid at the applicable Auction (the "***Starting Bid(s)***"). The determination of which Qualified Bid constitutes the Starting Bid and which Qualified Bid constitutes the Successful Bid shall take into account any factors the Debtors (after consultation with the Consultation Parties) deem relevant to the value of the Qualified Bid to the Debtors' estate, including, among other things: (a) the amount and nature of the consideration, including any obligations to be assumed; (b) the executory contracts and unexpired leases of the Debtors, if any, for which assumption and assignment or rejection is required, and the costs and delay associated with any litigation concerning executory contracts and unexpired leases necessitated by such Bid; (c) the likelihood of the Qualified Bidder being able to close the proposed transaction (including obtaining any required regulatory approvals) and the timing thereof; (d) the net benefit to the Debtors' estate; and (e) the tax consequences of such Qualified Bid. The Starting Bid(s) will be provided to Qualified Bidders prior to the applicable Auction.

Bidding at the Auctions will begin with the Starting Bid and continue, in one or more rounds of bidding, so long as during each round at least one Subsequent Bid (as defined below) is submitted by a Qualified Bidder that the Debtors determine, after consultation with the Consultation Parties, is (a) for the first round, a higher or otherwise better offer than the Starting Bid and (b) for subsequent rounds, a higher or otherwise better offer than the Leading Bid (as defined below) (a "***Subsequent Bid***"). After the first round of bidding and between each subsequent round of bidding, the Debtors shall announce the Bid that it believes to be the highest or otherwise best applicable offer (the "***Leading Bid***"). A round of bidding will conclude after each participating Qualified Bidder has had the opportunity to submit a Subsequent Bid with full knowledge of the Leading Bid, subject to the Debtors' authority to revise the Auction procedures as set forth below.

XI. SUCCESSFUL AND BACKUP BIDS

Immediately prior to the conclusion of the applicable Auction, the Debtors, after consultation with the Consultation Parties, will: (a) determine, consistent with the Bid Procedures, which Bid constitutes the highest or otherwise best Bid (the "***Successful Bid***") and (b) notify all Qualified Bidders at such Auction, prior to its conclusion, of the name of the maker of the Successful Bid (the "***Successful Bidder***") and the amount and other material terms of the Successful Bid.

The Debtors may, after consultation with the Consultation Parties, designate the Backup Bid (and the corresponding Backup Bidder) to close with respect to a Potential Transaction in the event that the Successful Bidder does not close its Potential Transaction. In the event that a Successful Bidder fails to close prior to such date as specified in the applicable documents (or such date as may be extended by the Debtors), the Debtors, upon written notice to the Backup Bidder, may designate the applicable Backup Bid as the Successful Bid for such transaction, in which case the Backup Bidder will be deemed to be the Successful Bidder for such transaction and the Debtors will be authorized, but not directed, to close the transaction with the Backup Bidder subject to the terms of the Backup Bid and any orders of the Bankruptcy Court.

Unless the Bankruptcy Court orders otherwise, the Debtors will not consider any Bids or Subsequent Bids submitted after the conclusion of the applicable Auction, and any and all such Bids and Subsequent Bids will be deemed untimely and will under no circumstances constitute Qualified Bids.

Within forty-eight (48) hours following the conclusion of the applicable Auction, the Debtors will file a notice on the Bankruptcy Court's docket identifying (with specificity) the Successful Bidder(s), any applicable Backup Bidder(s), and, if applicable, the list of executory contracts and unexpired leases that the Successful Bidder(s) want assumed and assigned (a "***Notice of Successful Bidder***").

The Debtors' presentation to the Bankruptcy Court for approval of a selected Qualified Bid as a Successful Bid does not constitute the Debtors' acceptance of such Bid. The Debtors will have accepted a Successful Bid only when such Successful Bid has been approved by order of the Bankruptcy Court.

XII. BANKRUPTCY COURT HEARING

Each Successful Bid and any Backup Bid (or if no Qualified Bid other than that of one applicable Qualified Bidder is received and no Auction is held, then the Qualified Bid of such Qualified Bidder) is subject to approval by the Bankruptcy Court. As and when appropriate, the Debtors will schedule, and provide notice of, a hearing for the Bankruptcy Court to consider approval of the transaction(s) contemplated by the Qualified Bid(s) (in the event of an Asset Sale, the "***Sale Hearing***").

XIII. RETURN OF GOOD FAITH DEPOSIT

The Good Faith Deposits of all Qualified Bidders shall be held in escrow, but shall not become property of the Debtors' estates absent further order of the Bankruptcy Court. The Debtors shall retain any Good Faith Deposit submitted by each Successful Bidder. At the closing of a transaction contemplated by a Successful Bid, the applicable Successful Bidder will be entitled to a credit for the amount of its Good Faith Deposit to the extent such a deposit was provided. The Good Faith Deposit of any Backup Bidder shall be retained until three (3) business days after the Closing Date. The Good Faith Deposits of any other Qualified Bidders will be returned no later than seven (7) business days following the applicable Auction.

If a Successful Bidder (or, if the transaction is to be closed with a Backup Bidder, then the Backup Bidder) fails to consummate the transaction because of a breach or failure to perform on

the part of such bidder, then, subject to the terms of the applicable transaction documents (as such documents may be amended or modified at the Auction), the Debtors and their estates shall be entitled to retain the Good Faith Deposit of such Successful Bidder (or, if the transaction is to be closed with the Backup Bidder, then such Backup Bidder) as part of the damages resulting to the Debtors and their estates for such breach or failure to perform.

XIV. RESERVATION OF RIGHTS AND MODIFICATIONS

Notwithstanding any of the foregoing, the Debtors, after consultation with the Consultation Parties, reserve the right to modify these Bid Procedures, including, without limitation, to extend the deadlines set forth herein, waive terms and conditions set forth herein with respect to any or all Potential Bidders (including, without limitation, the Bid Requirements), impose additional terms and conditions with respect to any or all Potential Bidders (including, without limitation, the amount of the Good Faith Deposit required), adjourn or cancel the Auction(s) at or prior to the Auction(s), seek Bankruptcy Court approval for a private sale before a Bid Deadline (*i.e.*, without an Auction), and/or adjourn any Bankruptcy Court hearings.

The Debtors also may, after consultation with the Consultation Parties, announce at the Auction(s) additional procedural rules (*e.g.*, the amount of time to make Subsequent Bids, the amount of any required incremental overbids, the requirement that parties submit "best and final" Bids, and conducting an open cry auction, one or more rounds of sealed bidding, or any combination of the foregoing) for conducting the Auction(s) or otherwise modify these Bid Procedures; *provided*, that such rules (a) are not materially inconsistent with these Bid Procedures, the Bankruptcy Code, or applicable orders of the Bankruptcy Court and (b) are disclosed to each Qualified Bidder during the applicable Auction.

For the avoidance of doubt, nothing in these Bid Procedures prevents the Debtors from pursuing or consummating any other transactions that do not constitute an Asset Sale or other form of Potential Transaction as specifically contemplated herein, and the Debtors reserve all rights to effectuate the foregoing.

XV. CONSENT TO JURISDICTION

All Potential Bidders submit to the jurisdiction of the Bankruptcy Court and waive any right to a jury trial in connection with any disputes relating to the Debtors' qualification of Bids, the Auction, the construction and enforcement of these Bid Procedures, any documents in connection with an Asset Sale or other form of Potential Transaction, or any chapter 11 plan in the Debtors' chapter 11 cases.

XVI. AS-IS / WHERE-IS

Any Assets sold pursuant to these Bid Procedures will be conveyed on the applicable Closing Date in their then-present condition, as is, with all faults, and without any warranty whatsoever, express or implied, except as otherwise expressly provided in the transaction documents with the Successful Bidder.

XVII. FIDUCIARY DUTIES

Notwithstanding anything to the contrary in these Bid Procedures, nothing in these Bid Procedures shall require the Debtors, after consulting with counsel, to take any action or refrain from taking any action with respect to any Potential Transaction if taking or failing to take such action would be inconsistent with applicable law or their fiduciary duties.

Exhibit 1

Milestones for Potential Transaction (other than Asset Sale)

Milestone	Event
Friday, August 11, 2023	Filing of plan of reorganization and disclosure statement
Friday, August 25, 2023	Court approval of the disclosure statement
Friday, September 29, 2023	Confirmation of plan of reorganization
Monday, October 16, 2023	Effective date of plan of reorganization

Exhibit B

Sale Notice

[To be filed at least seven days prior to objection deadline]

Exhibit C

Assumption and Assignment Procedures

[To be filed at least seven days prior to objection deadline]

Exhibit D

Cure Notice

[To be filed at least seven days prior to objection deadline]